

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 839

BY REVENUE AND TAXATION COMMITTEE

AN ACT

RELATING TO TAXATION; AMENDING SECTION 63-3612, IDAHO CODE, TO REVISE A DEFINITION; AMENDING SECTION 63-3613, IDAHO CODE, TO REVISE A DEFINITION; PROVIDING APPLICABILITY; AND DECLARING AN EMERGENCY AND PROVIDING RETROACTIVE APPLICATION.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 63-3612, Idaho Code, be, and the same is hereby amended to read as follows:

63-3612. SALE. (1) The term "sale" means any transfer of title, exchange or barter, conditional or otherwise, of tangible personal property for a consideration and shall include any similar transfer of possession found by the state tax commission to be in lieu of, or equivalent to, a transfer of title, exchange or barter.

(2) "Sale" shall also include the following transactions when a consideration is transferred, exchanged or bartered:

(a) Producing, fabricating, processing, printing, or imprinting of tangible personal property for consumers who furnish, either directly or indirectly, the tangible personal property used in the producing, fabricating, processing, printing, or imprinting.

(b) Furnishing, preparing, or serving food, meals, or drinks and nondepreciable goods and services directly consumed by customers included in the charge thereof.

(c) A transfer of possession of property where the seller retains the title as security for the payment of the sales price.

(d) A transfer of the title or possession of tangible personal property which has been produced, fabricated, or printed to the special order of the customer, or of any publication.

(e) Admission to a place or for an event in Idaho, provided that an organization conducting an exempt function as defined in section 527 or exempted by section 501(c)(3) of the Internal Revenue Code, as incorporated in section 63-3004, Idaho Code, and collecting any charges for attendance at the aforementioned event, shall not have those admission charges be defined as a sale if the event:

(i) Is not predominately recreational or commercial; and

(ii) Any included entertainment value is minimal when compared to the charge for attendance; and

(iii) Such entity has paid sales and use tax on taxable property or services used during the event.

(f) The use of or the privilege of using tangible personal property or facilities for recreation.

(g) Providing hotel, motel, campground, or trailer court accommodations, nondepreciable goods directly consumed by customers and included services, except:

(i) ~~where~~ Where residence is maintained continuously under the terms of a lease or similar agreement for a period in excess of thirty (30) days-; or

(ii) Accommodations for redemptions of loyalty or rewards program points where monetary consideration has not been paid for the accommodations by the program member; however, sales tax shall apply to monetary consideration paid by a loyalty program to an accommodations owner or operator when loyalty or reward points are redeemed for the providing of customer accommodations.

(h) The lease or rental of tangible personal property.

(i) The intrastate transportation for hire by air of freight or passengers, except (1) as part of a regularly scheduled flight by a certified air carrier, under authority of the United States, or (2) when providing air ambulance services.

(3) As used in subsections (2) (b) and (2) (g) of this section, goods "directly consumed by customers" shall not be interpreted to mean any linens, bedding, cloth napkins or similar nondisposable property.

SECTION 2. That Section 63-3613, Idaho Code, be, and the same is hereby amended to read as follows:

63-3613. SALES PRICE. (a) The term "sales price" means the total amount for which tangible personal property, including services agreed to be rendered as a part of the sale, is sold, rented or leased, valued in money, whether paid in money or otherwise, without any deduction on account of any of the following:

1. The cost of the property sold. However, in accordance with such rules as the state tax commission may prescribe, a deduction may be taken if the retailer has purchased property for some purpose other than resale or rental, has reimbursed his vendor for tax which the vendor is required to pay to the state or has paid the use tax with respect to the property, and has resold or rented the property prior to making any use of the property other than retention, demonstration or display while holding it for sale in the regular course of business. If such a deduction is taken by the retailer, no refund or credit will be allowed to his vendor with respect to the sale of the property.

2. The cost of materials used, labor or service cost, losses, or any other expense.

3. The cost of transportation of the property prior to its sale.

4. The face value of manufacturer's discount coupons. A manufacturer's discount coupon is a price reduction coupon presented by a consumer to a retailer upon purchase of a manufacturer's product, the face value of which may only be reimbursed by the manufacturer to the retailer.

(b) The term "sales price" does not include any of the following:

1. Retailer discounts allowed and taken on sales, but only to the extent that such retailer discounts represent price adjustments as opposed to cash discounts offered only as an inducement for prompt payment.

1 2. Any sums allowed on merchandise accepted in payment of other mer-
2 chandise, provided that this allowance shall not apply to the sale of a
3 "new manufactured home," a "new park model recreational vehicle" or a
4 "modular building" as defined herein.

5 3. The amount charged for property returned by customers when the
6 amount charged therefor is refunded either in cash or credit; but this
7 exclusion shall not apply in any instance when the customer, in order
8 to obtain the refund, is required to purchase other property at a price
9 greater than the amount charged for the property that is returned.

10 4. The amount charged for labor or services rendered in installing or
11 applying the property sold, provided that said amount is stated sepa-
12 rately and such separate statement is not used as a means of avoiding
13 imposition of this tax upon the actual sales price of the tangible per-
14 sonal property; except that charges by a manufactured homes dealer or
15 park model recreational vehicle dealer for set up of a manufactured
16 home or park model recreational vehicle shall be included in the "sales
17 price" of such manufactured home or park model recreational vehicle.

18 5. The amount of any tax (not including, however, any manufacturers' or
19 importers' excise tax) imposed by the United States upon or with respect
20 to retail sales whether imposed upon the retailer or the consumer.

21 6. The amount charged for finance charges, carrying charges, service
22 charges, time-price differential, or interest on deferred payment
23 sales, provided such charges are not used as a means of avoiding impo-
24 sition of this tax upon the actual sales price of the tangible personal
25 property.

26 7. Delivery and handling charges for transportation of tangible per-
27 sonal property to the consumer, provided that the transportation is
28 stated separately and the separate statement is not used as a means of
29 avoiding imposition of the tax upon the actual sales price of the tan-
30 gible personal property; except that charges by a manufactured homes
31 dealer or park model recreational vehicle dealer for transportation
32 of a manufactured home or park model recreational vehicle shall be in-
33 cluded in the "sales price" of such manufactured home or park model
34 recreational vehicle.

35 8. Manufacturers' rebates when used at the time of a retail sale as a
36 down payment on or reduction to the retail sales price of ~~a motor vehi-~~
37 ele the following products to which the rebate applies: motor vehicles
38 as defined in section 63-3605L, Idaho Code; and all-terrain vehicles,
39 utility type vehicles, specialty off-highway vehicles, motorbikes, and
40 snowmobiles, as those terms are defined in section 67-7101, Idaho Code.
41 A manufacturer's rebate is a cash payment made by a manufacturer to a re-
42 tailer or to a consumer who has purchased or is purchasing the manufac-
43 turer's product from the retailer.

44 9. The amount of any fee imposed upon an outfitter as defined in section
45 36-2102, Idaho Code, by a governmental entity pursuant to statute for
46 the purpose of conducting outfitting activities on land or water sub-
47 ject to the jurisdiction of the governmental entity, provided that the
48 fee is stated separately and is presented as a use fee paid by the out-
49 fitted public to be passed through to the governmental entity.

1 10. The amount of any discount or other price reduction on telecommuni-
2 cations equipment when offered as an inducement to the consumer to com-
3 mence or continue telecommunications service, or the amount of any com-
4 mission or other indirect compensation received by a retailer or seller
5 as a result of the consumer commencing or continuing telecommunications
6 service.

7 (c) The sales price of a "new manufactured home" or a "modular building"
8 as defined in this chapter shall be limited to and include only fifty-five
9 percent (55%) of the sales price as otherwise defined herein.

10 (d) Taxes previously paid on amounts represented by accounts found to
11 be worthless may be credited upon a subsequent payment of the tax provided in
12 this chapter or, if no such tax is due, refunded. If such accounts are there-
13 after collected, a tax shall be paid upon the amount so collected.

14 (e) Tangible personal property when sold at retail for more than eleven
15 cents (11¢) but less than one dollar and one cent (\$1.01) through a vending
16 machine shall be deemed to have sold at a sales price equal to one hundred
17 seventeen percent (117%) of the price which is paid for such tangible per-
18 sonal property and/or its component parts including packaging by the owner
19 or operator of the vending machines.

20 (f) Sales price shall not include a gratuity or tip received when paid
21 to the service provider of a meal. The gratuity or tip can be either volun-
22 tary or mandatory, but must be given for the service provided and as a supple-
23 ment to the service provider's income.

24 (g) The sales price of a "new park model recreational vehicle" shall in-
25 clude one hundred percent (100%) of the sales price as otherwise defined in
26 this section.

27 SECTION 3. The provisions of this act shall apply to all appeals pend-
28 ing on and after January 1, 2026, involving interpretation or application of
29 sections 63-3612 and 63-3613, Idaho Code.

30 SECTION 4. An emergency existing therefor, which emergency is hereby
31 declared to exist, this act shall be in full force and effect on and after its
32 passage and approval, and retroactively to January 1, 2026.